xp research

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Macro Research

Brazil Macro Monthly

Fiscal rule brings visibility, but not necessarily stability

Highlights

- The turmoil in the banking sector increased global uncertainty and moved asset prices. The Fed approaches the end of its tightening cycle, although we expect rate cuts only in 2024;
- In Brazil, economic activity gradually weakens, as expected. Credit conditions are tighter, while the labor market is losing steam. Therefore, we forecast that GDP will rise by 1% in 2023 and 2024;
- We raised the 2023 IPCA forecast to 6.2% from 5.5%, mainly due to administered goods. For 2024 we lift to 5.0% from 4.5%, reflecting inflationary inertia and a (now expected) less restrictive monetary policy. ahead We believe the Monetary Council will lift the inflation target for 2024 and onwards to 4.5%;
- The new fiscal framework proposal helps to reduce uncertainties but requires additional revenue measures and an optimistic macroeconomic scenario to ensure the sustainability of the public debt;
- The BRL has appreciated in recent days, after the reduction of global and local risks. But concerns remain on the radar. Hence, we maintain the projection of BRL/USD 5.30 for YE 2023, with an average annual rate of BRL/USD 5.15;
- As the economy decelerates, we now see a 25-bps cut in the Selic rate at the August Copom meeting, followed by a sequential 50 bps cut until the policy rate reaches 11.00% by the 2024 first half.

Caio Megale
Chief economist

Andres Pardo
Chief Latam Strategist

Rodolfo Margato
Economist

Tiago Sbardelotto
Economist

Alexandre Maluf
Economist

Francisco Nobre
Economist

Alberto Silva
Intern

Contact
economiaxp@xpi.com.br

XP Forecasts

	2019	2020	2021	2022	2023 (F)	2024 (F)
GDP growth (%)	1.2	-3.3	5.0	2.9	1.0	1.0
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	9.2	9.8
IPCA (CPI, 12m, %)	4.3	4.5	10.1	5.8	6.2	5.0
SELIC rate (% p.y., end of period)	4.50	2.00	9.25	13.75	12.00	11.00
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	5.30	5.40
Primary balance (% GDP)	-0.9	-9.3	0.7	1.3	-0.9	-0.7
Gross debt (% GDP)	74.3	86.9	78.8	73.5	76.6	79.7
Trade Balance (USD Bn)	35.2	50.4	61.4	61.7	73.0	64.5
Exports (USD Bn)	221.1	209.2	280.8	334.4	360.5	358.1
Imports (USD Bn)	185.9	158.8	219.4	272.7	287.5	293.6
Current Account (USD Bn)	-68.0	-28.2	-46.4	-55.7	-40.0	-48.0
Current Account (% GDP)	-3.6	-1.9	-2.8	-2.9	-1.9	-2.3
FDI (USD Bn)	69.2	37.8	46.4	90.6	80.0	75.0
FDI (% GDP)	3.7	2.6	2.8	4.8	3.9	3.6
Nominal GDP (USD Tri)	1.873	1.475	1.649	1.919	2.057	2.103
Nominal GDP (BRL Tri)	7.389	7.610	8.899	9.915	10.596	11.232

Source: IBGE, BCB, Bloomberg, XP.

Foreword – We have the fiscal framework. Now what?

The Brazilian government announced the much-awaited fiscal framework that will replace the spending cap. As its forerunner, the rule stablishes a cap for expenditures real growth rate, that will vary from 0.6% to 2.5% (instead of 0%). The government will also pursue a primary balance path that reaches 1.0% surplus by the end of Lula's administration.

Good news: there is a limit for fiscal expansion ahead. Not so good news: this limit is wide enough for fiscal policy to remain expansionary, unless a significant (and uncertain) increase in tax burden comes.

For monetary policy, we believe the new framework brings some visibility to the Copom, which is positive. But we are not sure that it will lead to much lower interest rates over time. Particularly because quasi-fiscal policy also tends to be expansionary going forward.

Thus, we see now the easing cycle starting earlier than expected because of the deceleration in credit markets, but we still see the terminal Selic rate at 11.00%. Implicit in our Selic forecast are the hypothesis that i) the Monetary Council will adjust the inflation target for 2024 to 4.5%; and/or ii) the Copom will ultimately opt for a longer convergency to the target (2025).

Inflation, on its turn, remains challenging. We lifted our IPCA forecast this year to 6.x% (6.0% before); and to 5.0% (4.5%).

Last but not least, despite the uncertainties on the banking system, the global economy continues positive for Brazil. Europe and US central banks are probably approaching the end of the tightening cycle; and China's economy seems to be gaining traction, providing support for commodity prices.

Global backdrop: Inflation remain at the spotlight despite banking turmoil

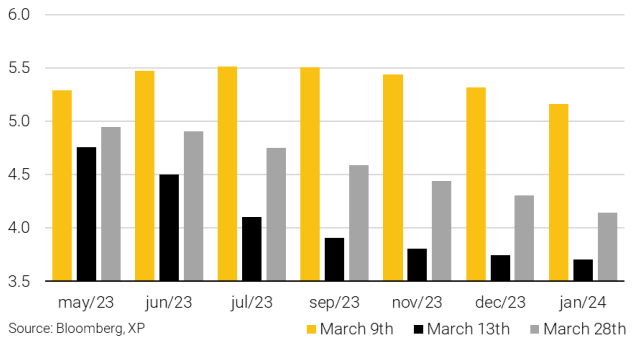
Aggressive shift in the yield curve. After the outbreak in the global banking sector, swap markets shifted aggressively from pricing the Fed Funds rate "higher for longer" to pricing the start of the easing cycle as soon as July this year. Concerns of a systematic crisis have eased since central banks have acted promptly, and expectations have partially shifted back (graph). We expect concerns regarding the financial system to gradually fade, and lingering high inflation coupled with the tight labor market will still concern policymakers. However, the Fed is now expected to end its monetary tightening cycle soon. Our base case scenario is that the Fed delivers one more 25 bps hike, reaching the terminal rate of 5.25%. Also, we expect the easing cycle to start by the first quarter of next year as the disinflation process advances, and we see the upper bound of the Fed funds rate reaching 3.5% by the end of 2024.

Resilient activity and stubborn inflation, but the tide is changing. The US economy showed unexpected resilience at the beginning of the year. However, we highlight that financial conditions have only recently entered restrictive territory, and, considering the lagged effect of monetary policy on the aggregate economy, the impact should become increasingly evident. Core inflation still hovers way above the Fed's target, which tends to keep monetary authorities alert. We believe that demand is finally losing steam, and with one additional rate hike in May, the inflation outlook will improve in the second half of the year.

In Europe, additional tightening will be required amid sticky inflation. Since the banking turmoil, the ECB has made its forward guidance vague, although we believe that additional hikes of 25 bps will still be required in the upcoming meetings. It is clear from the data that core inflation remains stickier than anticipated, which is likely to keep policymakers hawkish. We believe that the ECB will still need to hike another 75-100 bps in order to reach its medium-term goal of price stability.

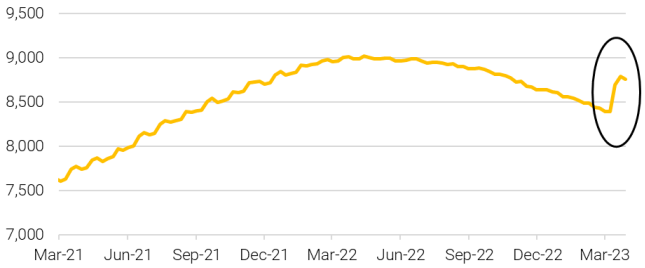
Economic activity in China has started to gain ground. Since China's announced the end of strict Covid restrictions, its economic activity was expected to accelerate aggressively due to the three yearlong pent-up demand and ongoing government stimulus. Despite mixed signs at the beginning of the year, recent data has started to show more evidence that the Chinese economy is strengthening. Retail sales, industrial production, and the PMI index have shown consistent expansions. Moreover, confidence indicators have improved since the beginning of the year. This information is consistent with our expectations that China's GDP will expand by around 5.6% in 2023. In addition, China's growth is expected to have positive spillover effects on other regions, mainly for China's trade partners.

Fed Funds' market pricing shifted aggressively
Fed Funds, market implied policy rate (%)



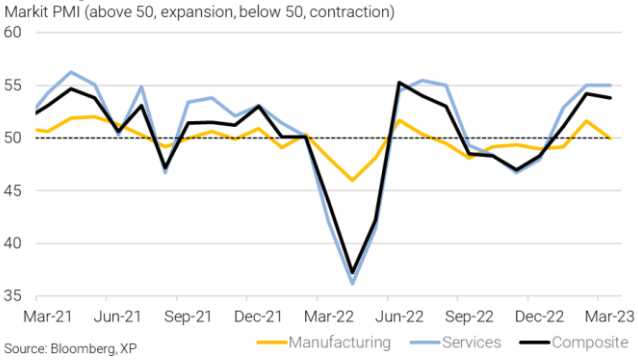
Source: Bloomberg, XP

The Fed injected liquidity into the market and inverted quantitative tightening
Federal Reserve balance sheet (USD billions)



Source: Fed, XP

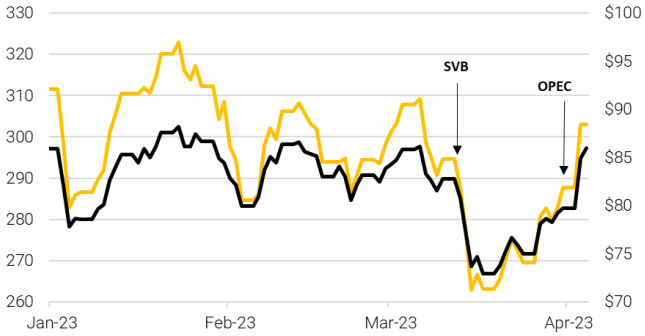
Clearer signs of acceleration in China
Markit PMI (above 50, expansion, below 50, contraction)



Source: Bloomberg, XP

Volatile commodities amid the uncertain outlook. Energy commodities have been volatile amid global financial uncertainties and the reduction of oil supply from OPEC+. We are penciling that Brent oil prices will fluctuate at around USD 85-90 this year. Agricultural commodities also suffered a fall in the past month, reflecting weaker-than-expected demand. Still, recovering demand from China can add pressure on food items. Also, the global energy transition effort will likely keep demand for metals high in the coming years. In general, we believe commodity prices will linger around current levels, which is positive for Latin America and Brazil.

Commodity prices fluctuate reacting to global events
CRB commodity price index and Brent oil prices (USD)



Source: Bloomberg, XP — CRB all commodities index (LHS) — Brent Oil Price (RHS)

Brazil: Fiscal rule brings visibility, but not necessarily stability

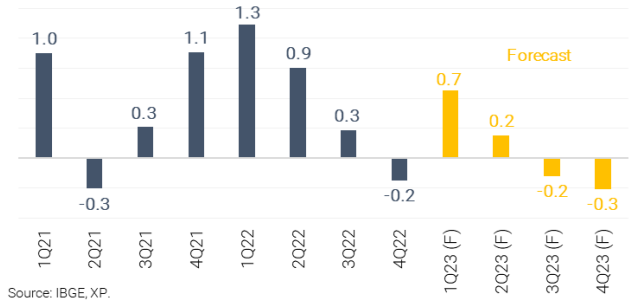
Economic Activity – Following the slowdown script

The Brazilian economy is decelerating gradually, as expected. Domestic activity has been weakening since 3Q22, reflecting the lagged and cumulative effects of the contractionary monetary policy. And this trend should not be reversed in the short term.

Thus, we continue to forecast a 1% gain for 2023 GDP, after an expansion of 2.9% in 2022.

On the one hand, a sharp rise in agriculture and income impulses is expected. We consider that expectation of modest GDP growth – our baseline scenario since mid-last year – as balanced. Soaring agricultural activities and higher household disposable income should prevent a more pronounced slowdown in local economic activity this year. Regarding the former, we anticipate an 8.3% jump for the primary sector's GDP (contribution of around 0.5pp to total GDP), driven especially by the record grain harvest. Along with this, external demand for Brazilian goods is expected to remain solid, boosted by China's economic recovery. With respect to disposable income, our updated calculations point to a real advance of 3.5% in the current year. The massive government cash transfer to vulnerable families ('Bolsa Família' welfare program plays a major role) and wage recomposition explain much of that projected increase. For more information, see our report *XP Macro Special: Rising household disposable income will prevent a sharper slowdown in consumption throughout 2023*.

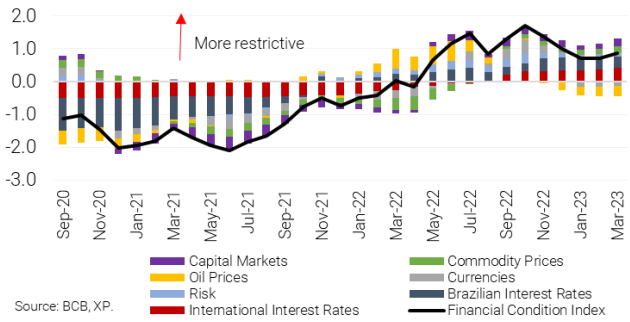
We estimate a strong increase for 1Q23 GDP, mostly driven by agriculture, but weakening in the coming quarters
% QoQ (s.a)



Source: IBGE, XP.

On the other hand, financial conditions became even tighter. In addition to the high benchmark interest rate, adverse shocks in the Brazilian credit and capital markets coupled with turmoil in the global banking system led to more restrictive financial conditions in the recent period. We emphasize the increased risk perception and spreads under pressure. For instance, credit concessions to companies (with non-earmarked resources) have dropped significantly in recent months. Expectations of lower corporate profitability amid the cooling of activity, higher funding costs and growing indebtedness are the main reasons behind this worrying dynamic. In our view, the additional tightening of financial

Financial conditions have become more restrictive recently
Standard deviations from the mean and relative contributions



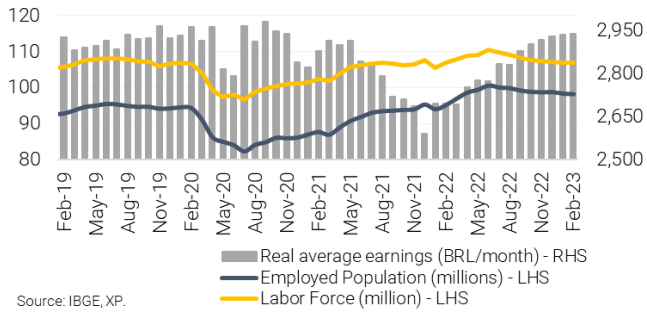
Source: BCB, XP.

conditions offsets the expected loosening of local monetary policy from the second half of 2023 (as discussed in the *Monetary Policy* section).

We are slightly revising our 2024 GDP growth forecast, to 1% from 0.8%. The outlook for a gradual reduction in interest rates – the benchmark Selic rate is now projected at 12.00% at the end of 2023, instead of the stability at 13.75% previously thought – has driven that upward revision. The positive impact on GDP performance in the coming year would be more significant were it not for the worsening short-term credit outlook.

In line with modest economic growth, we foresee a gradual rise in the jobless rate. Our seasonally adjusted estimates indicate an increase from 8.2% YE 2022 to 9.2% YE 2023 and 9.85 YE 2024. The total employed population has retreated in recent months, albeit at a moderate pace. The downward trajectory of the labor force participation rate, which stands around 1.5pp below pre-pandemic levels, prevents a sharper movement in the unemployment rate. Meanwhile, labor earnings remain on a recovery path, but clearly losing steam at the margin – we predict some stabilization in real wages from 2Q23 onwards.

Employment edging down, while real wages are leveling off
Monthly and s.a series



Source: IBGE, XP.

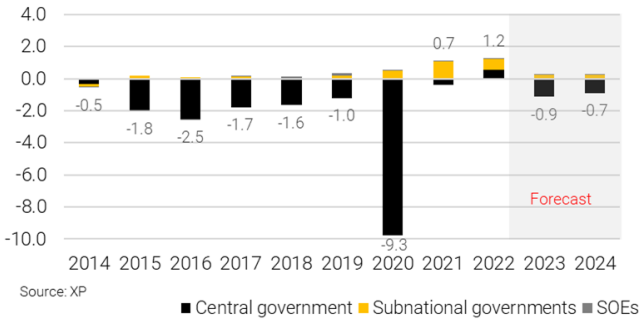
Fiscal Policy – New fiscal rule brings predictability, but does not ensure sustainability

February 2023 central government primary balance registered an all-time monthly low. Tax collection remained positive in February (R$ 159.0 billion), but non-tax revenues (such as concessions and dividends) fell significantly, and social security expenditures rose markedly. Thus, the central government registered the worst result for February in the historical series: BRL -41.0 billion. In turn, the consolidated public sector showed a deficit of BRL 26.5 billion, the worst result since 2017, despite the positive outcome from states and municipalities (BRL 11.8 billion). In the year, the public sector maintains a surplus of BRL 72.6 billion and, in 12 months, BRL 93.2 billion (0.9% of GDP).

Larger primary deficit this year. Considering the current data and the economic slowdown expected ahead, we now estimate a larger primary deficit this year: BRL 119.6 billion (-1.1% of GDP) from a deficit of BRL 107.4 billion (-1.0% of GDP) last month. This change is mainly due to lower corporate tax collections (IRPJ and CSLL) and less revenues from the exploration of natural resources (royalties and special shares).

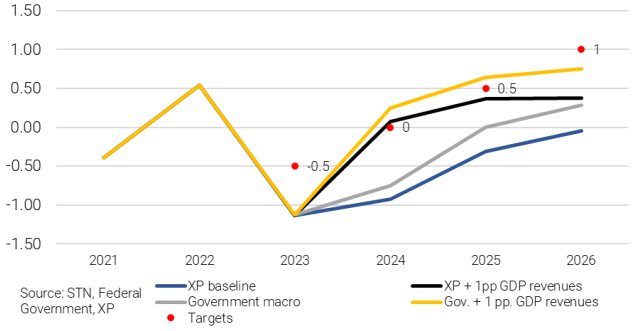
Risks are balanced going forward. On the downside, revenues may fall more than expected if economic activity decelerate too fast or if oil prices fall (although this risk has diminished recently due to OPEC+ action). Regarding expenditures, the main risks are related to laws approved in the past, such as the national nursing floor and the compensation of ICMS collection losses to the states. On the upside, government has just announced a BRL 50 billion increase in revenues (more details on the measures below) that may be effective.

Central govenment results lead the public sector to a deficit
As % of GDP



Source: XP

Primary balance targets will require additional revenues
As % of GDP



Source: STN, Federal Government, XP

Regional governments' balance returning to positive territory. After registering the worst historical results in the last months of 2022, states and municipalities showed a surplus of BRL 33.6 billion at the beginning of this year. In part, we believe this can be due to gains in the collection of the states with other taxes (IPVA, for example) and transfers from the Union, which offset losses with the ICMS limit for fuel, electricity, and communications. Looking ahead, changes in the electricity tax base and fuels provide support for a partial recovery of the revenue lost last year due to ICMS changes. As so, we revised our forecast of regional governments from a deficit of BRL 3.7 billion to a surplus of BRL 23.1 billion in 2023.

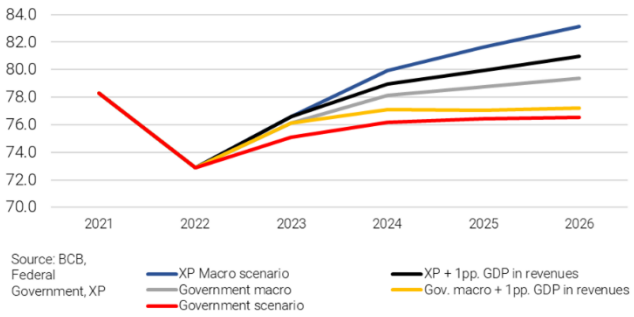
The new fiscal rule was finally introduced. In a nutshell, the new rule combines a spending cap with primary balance targets. Lower and upper limits were established for real expenditure growth at 0.6% and 2.5%, respectively. These limits constitute a "countercyclical component" of the rule, preventing expenditure from falling when revenue is falling or rising too much otherwise.

The government will also pursue a primary balance path for the coming years. The primary result targets for 2024, 2025 and 2026 will be 0%, 0.5% and 1% of GDP.

Considering XP macro scenario, the rule is not enough to reach the primary balance targets or to stabilize the debt/GDP ratio. With economic growth around 1.5% on the average of the next few years and real interest rates at around 4.0%; the government will not be able to deliver the promised primary results or to stabilize debt/GDP ratio by 2026. We estimate it will only be possible under two joint conditions: 1) an increase in the tax burden of 1.0 to 1.5pp of GDP; and 2) an average economic growth of 2.5%.

Discussion of tax collection measures is the next chapter of the fiscal rule. The government has announced that it will seek between BRL 100 and BRL 150 billion in additional revenues in the coming months. The measures should include the taxation of online betting, the change in subsidies for the investment of ICMS (which affects the IRPJ/CSLL tax base) and the taxation of electronic commerce that can yield more than R$ 100 billion. Other proposals, such as the taxation on dividends and closed-end funds may enter a second stage, within the income tax reform.

Debt does not stabilize on our baseline scenarios
In % of GDP



Source: BCB, Federal Government, XP

Measures to be announced soon

Measures	Description	Estimates (BRL billion) Min	Max
Online betting taxation	Creating a contribution on online betting	12	15
Costing subsidy on ICMS	Change in the subsidy on ICMS to increase tax base for corporate tax	80	90
E-commerce taxation	Change in e-commerce taxation to reduce evasion	7	8
Total		99	113

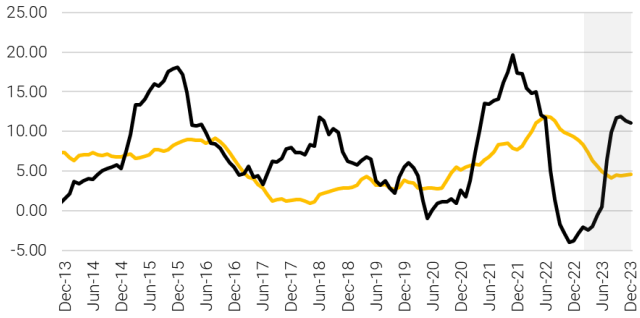
Source: Federal Government., XP

Inflation – We raised our IPCA projection for 2023 and 2024

Current inflation remains challenging. The March inflation preview (IPCA-15) advanced 0.69% MoM, slightly above market expectations and XP forecast. Services inflation was a bit better, but it is still running at around 4.5% YoY (SAAR 3M), well above the 3.25% target for 2023. Economic activity is still resilient and core measures at an uncomfortable level reinforce the BCB's challenge to reach the target.

We revised our forecast for the 2023 IPCA to 6.2% from 5.5%, mainly due to the rise in administered goods prices. As discussed

Higher 2023 inflation driven by administered prices
(IPCA % change - acc. in 12 months)



Source: IBGE, XP

above in the public accounts section, the state-level governments decided to implement the Ad Rem tariff on gasoline of R$1.22 per liter, which alone raised our forecast by 0.25pp. We have also adjusted our gasoline path through the end of 2023, consistent with Brent at $85 to $90 per barrel and no price cuts by Petrobras over this horizon. In addition to regulated prices, we raised the inflation projection for the 'Hygiene and Personal Care' group from 6.3% to 7.8%, given recent results and mismatches between strong demand and low inventories.

IPCA-15 also showed an improvement in the dynamics of industrial goods and food inflation. Our projection for the 'food at home' group was revised to 3.5% from 3.0% due to one-off adjustments, but it remains well below the 13.2% registered in 2022YE. Regarding industrial goods, recent releases of the IPCA and the IPA (Wholesale Price Index) from the FGV pointed towards a downward trend. Industrial IPA presented deflation in the quarterly variation, reiterating our more benign view for the group this year. Our projection for industrial goods stands at 2.9% in 2023 compared to 9.5% in December 2022.

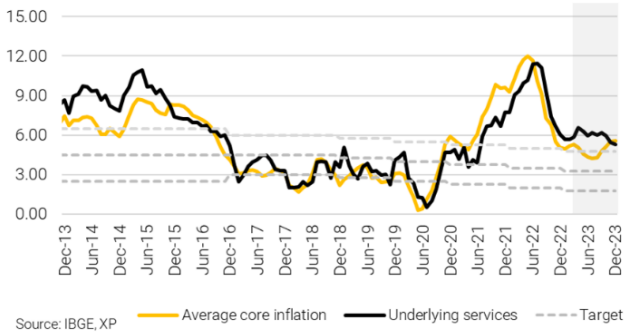
We raised the projection for 2024, due to greater inertia and the anticipation of the easing monetary policy cycle. For 2024, we raised our forecast from 4.5% to 5.0%. Part of the adjustment is related to greater inertia from 2023, and the remaining by the incorporation of interest rate cuts in 2023 in our scenario (see monetary policy section below). Fiscal policy should remain relatively expansionary (although limited at 2.5% growth in primary expenditure) and there are signs of reactivation of quasi-fiscal policies (especially BNDES).

This projection relies on the hypothesis that the 2024 inflation target will be raised to 4.5% and that the BCB will seek convergence with the target by 2025.

IPCA groups (annual variation, %)	2021	2022	2023 (P)	2024 (P)
Administered Prices	17.3	-3.8	11.1	7.0
Market-set prices	10.1	9.4	4.6	4.4
Food at home	8.2	13.2	3.5	4.0
Industrials	12.1	9.6	2.9	4.6
Services	4.7	7.6	6.3	4.5
IPCA	10.1	5.8	6.2	5.0

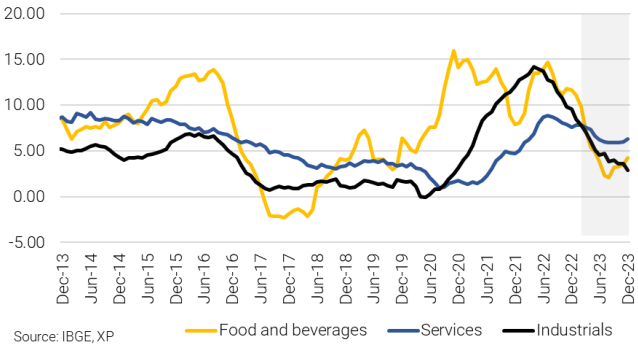
Source: IBGE, XP.

Core and Services inflation still running above target
(IPCA % change - 3M SAAR)



Source: IBGE, XP

Food and industrials below services in 2023
(IPCA % change - acc. in 12 months)



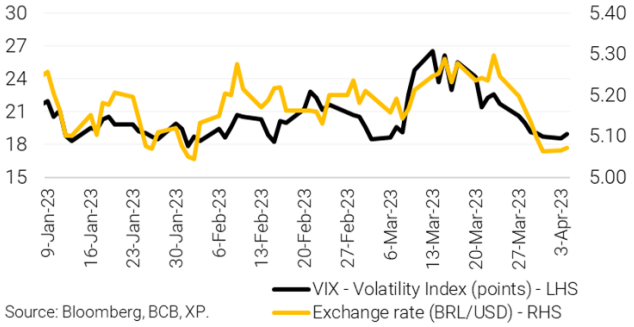
Source: IBGE, XP

External Sector: exchange rate appreciation after (partial) risk dissipation

The Brazilian exchange rate fluctuated sharply in the last 30 days, reflecting domestic fiscal uncertainties and turmoil in the international financial system (see *Global Backdrop* section). The pair approaches BRL/USD 5.05, after having reached levels around BRL/USD 5.30 in mid-March.

We see balanced risks for the BRL going forward. On the strong-BRL side are high commodity prices, the solid balance of payments and elevated domestic interest rates. On the weak-BRL side is the risk of a global hard landing, in addition to local political

Recent FX appreciation reflects lower global risk perception
Daily data



Source: Bloomberg, BCB, XP.

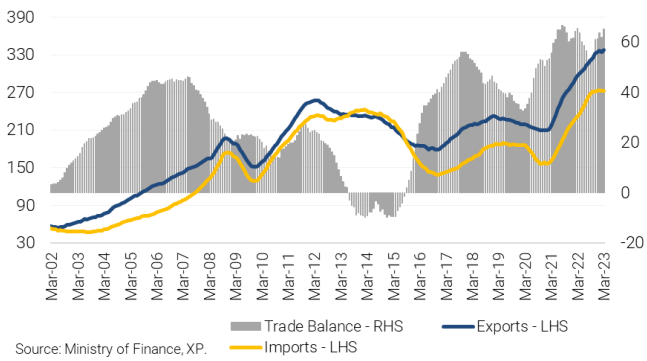
and fiscal uncertainties that remained even after the new fiscal framework was presented.

Therefore, we continue to forecast the exchange rate at BRL/USD 5.30 at the end of 2023, with an annual average of BRL/USD 5.15.

We anticipate a lower current account deficit in 2023, in the wake of a stronger performance of the trade balance. We are revising our expectation for the current account deficit this year, to USD 40.0 billion (-1.9% of GDP) from USD 50.5 billion (-2.5% of GDP). This revision was mainly due to better prospects for exports and, consequently, for the trade balance. As per our estimates, the moderate decline in international commodity prices will be more than offset by the expansion in export volume. We call attention to the higher export values of grains (on the heels of a record harvest in Brazil), iron ore and crude oil. In turn, imports are expected to grow at a moderate pace in 2023, in the wake of the cooling of domestic demand – the weakening of manufacturing industry takes center stage. For 2024, we foresee a current account balance of USD -48.0 billion or -2.3% of GDP (prior: USD -53.0 billion or -2.6% of GDP).

On the financial account side, the Foreign Direct Investment (FDI) remains at very high levels. Net inflows in FDI reached USD 88.0 billion in the 12-month rolling sum up to February 2023 (4.49% of GDP), well above the amount of USD 50.2 billion (3.0% of GDP) recorded a year earlier. We maintain our projections for FDI at USD 80.0 billion this year (3.9% of GDP) and USD 75 billion next year (3.6% of GDP). Our expectation of lower FDI in 2023 versus 2022 reflects the scenario of weaker economic growth and corporate profitability. All-in, FDI remains robust and allows for healthy financing of the current account deficit.

Trade surplus remains solid, with significant increase of exports
(12 month acc. - USD billion)



Source: Ministry of Finance, XP.

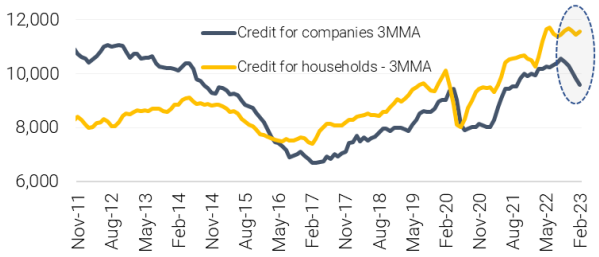
Monetary Policy – Easing cycle to start earlier, but still landing at the same spot

High rates for longer. The Central Bank (BCB) kept the hawkish tone in its recently official communication. The BCB recognizes that economic activity is losing steam but remains concerned about rising inflation expectations. Thus, it continues to signal that its flight plan is to keep the Selic rate at current levels for "a long period."

Inflation remains high. Recent IPCA consumer price inflation readings continue to show that inflation and core inflation are hovering around 6%. Inflationary pressures are taking longer than expected to fade. In fact, we lifted our forecast for this year and for 2024 (see the Inflation section above).

Weakening credit market, the canary in the coal mine. Having said that, credit markets are finally feeling the effects of monetary tightening (see chart). Additionally, exogenous events (such as the problems with Lojas Americanas) hit markets over and above what would be expected by tight monetary policy. A weaker credit

Credit for companies reflecting tight monetary policy
s.a daily average (non-earmarked resources), in real terms - BRL million



Source: BCB, XP.

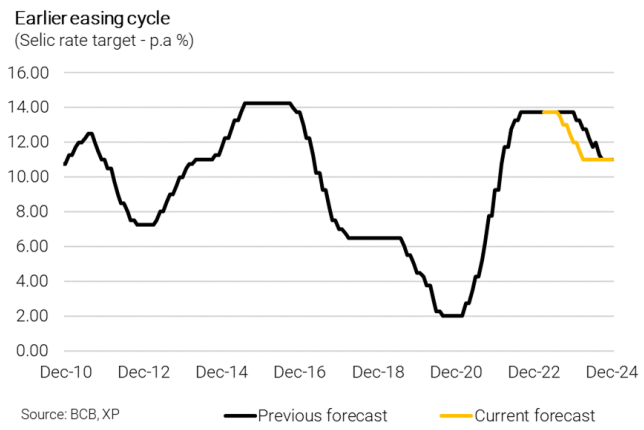
market is a sign that the timing to begging an easing cycle is coming.

The new fiscal framework sets (comfortable) limits for fiscal expansion. As discussed in the fiscal session above, the government's new fiscal framework does not stabilize the debt-to-GDP ratio but brings some visibility, as it sets limits for fiscal expansion ahead. Thus, the framework tends to be helpful for monetary policy management; though it does not necessarily open room for a lower interest rate over time since the fiscal stance will remain expansionary.

All considered, we believe now that the BCB will start a gradual easing cycle earlier than we previously expected. We now see a 25-bps cut in the August Copom meeting, followed by a sequential 50 bps cut until the Selic reaches 11.00% by the 2024 first half.

Implicit in our Selic forecast are the hypothesis that i) the Monetary Council will **adjust the inflation target** for 2024 and onwards to 4.5%; and/or ii) the Copom will ultimately opt for **a longer convergency** to the target (2025).

As we believe **fiscal and quasi-fiscal policies will remain expansionary in the coming years**, we did not change our terminal Selic rate forecast.



XP Forecasts	2019	2020	2021	2022	2023 (F)	2024 (F)
GDP growth (%)	1.2	-3.3	5.0	2.9	1.0	1.0
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	9.2	9.8
IPCA (CPI, 12m, %)	4.3	4.5	10.1	5.8	6.2	5.0
SELIC rate (% p.y., end of period)	4.50	2.00	9.25	13.75	12.00	11.00
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	5.30	5.40
Primary balance (% GDP)	-0.9	-9.3	0.7	1.3	-0.9	-0.7
Gross debt (% GDP)	74.3	86.9	78.8	73.5	76.6	79.7
Trade Balance (USD Bn)	35.2	50.4	61.4	61.7	73.0	64.5
Exports (USD Bn)	221.1	209.2	280.8	334.4	360.5	358.1
Imports (USD Bn)	185.9	158.8	219.4	272.7	287.5	293.6
Current Account (USD Bn)	-68.0	-28.2	-46.4	-55.7	-40.0	-48.0
Current Account (% GDP)	-3.6	-1.9	-2.8	-2.9	-1.9	-2.3
FDI (USD Bn)	69.2	37.8	46.4	90.6	80.0	75.0
FDI (% GDP)	3.7	2.6	2.8	4.8	3.9	3.6
Nominal GDP (USD Tri)	1.873	1.475	1.649	1.919	2.057	2.103
Nominal GDP (BRL Tri)	7.389	7.610	8.899	9.915	10.596	11.232

Source: IBGE, BCB, Bloomberg, XP.

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